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Author of Voluntary Carbon Market Disclosures Act Notes Intent to Begin Compliance in 2025

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California has garnered a significant amount of attention due to its recent legislation in the ESG arena—namely, Senate Bill No. 253, the Climate Corporate Data Accountability Act; Senate Bill No. 261, Greenhouse Gases: Climate-Related Financial Risk; and Assembly Bill No. 1305, the Voluntary Carbon Market Disclosures Act.

As companies prepare to comply with those laws, many took note that the Voluntary Carbon Market Disclosures Act became effective earlier this month. Under the Voluntary Carbon Market Disclosures Act, certain entities would be required to make a series of disclosures if they market, sell, purchase or use voluntary carbon offsets.

Jesse Gabriel, the author of Assembly Bill 1305, wrote a letter in which he clarified: "While the bill does not specify the date on which the first set of disclosures must be posted to a company's internet website, it was my intent that the first annual disclosure be posted by January 1, 2025."

Gabriel reasoned that giving companies until 2025 to prepare for the law would "provide[] reporting entities with sufficient time to align their business practices with the stated objectives of AB 1305 prior to being subject to potential civil fines."

To review the letter, which was published earlier this month in the California Assembly Daily Journal, please click here.

"While the bill does not specify the date on which the first set of disclosures must be posted to a company's internet website, it was my intent that the first annual disclosure be posted by January 1, 2025." - Jesse Gabriel, author of Assembly Bill 1305

Allison Clark also contributed to this article.

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